TENTATIVE RULINGS

DEPARTMENT C33

Judge Sandy N. Leal

July 9, 2026 at 10:00 AM

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Tentative rulings: The Court endeavors to post tentative rulings on the Court's website in the morning, prior to the hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the Department for tentative rulings if tentative rulings have not been posted. The Court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5233. Please do not call the Department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the Court's signature if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If nobody appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.*, 205 Cal.App.4th 436, 442, fn. 1 (2012.))

Appearances: Department C33 conducts non-evidentiary proceedings, such as law and motion hearings, remotely by Zoom videoconference pursuant to Code of Civil Procedure section 367.75 and Orange County Local Rule 375. Any party or attorney, however, may appear in person by coming to Department C33 at the Central Justice Center, located at 700 Civic Center Drive West in Santa Ana, California.

All counsel and self-represented parties appearing in-person must check in with the courtroom clerk or courtroom attendant before the designated hearing time. All counsel and self-represented parties appearing remotely must check-in online through the court's civil video appearance website at https://www.occourts.org/media-relations/civil.html before the designated hearing time. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available at https://www.occourts.org/media-relations/aci.html. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also are available at https://www.occourts.org/media-relations.aci.html. Those procedures and guidelines will be strictly enforced.

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings. Members of the media or public may obtain access to law and motion hearings in this Department by either coming to the Department at the designated hearing time or contacting the Courtroom Clerk at (657) 622-5233 to obtain login information. For remote appearances by the media or public, please contact the Courtroom Clerk 24 hours in advance so as not to interrupt the hearings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

#	Case Name	Tentative
2	***24-01437581*** ***Guzman vs. Gordon***	**Motion to Quash Subpoena** **Withdrawn**
3	***24-01403120*** ***Homman Holding, Inc. vs. Epps***	**Motion to Strike Portions Of Complaint** Defendants Harold V. Epps; Liping Wang Epps; and Henry Wang; Honexpet, LLC; Betapet, LLC; and Cutepet LLC's Motion to Strike is GRANTED. The following allegations are ORDERED stricken: 1. "Epps and Wangs instructed AlphaPet's counsels Brian Wagner and Amir Farahani to file a Verified Answer denying Homman's request for such inspection to compromise AlphaPet's legal compliance under the California Corporation Statute so they could further cover up their fraudulent intentions and actions, which was subsequently sanctioned by this Court." (pg. 11, ¶ 52, lines 27-pg. 12, line 3.) 2. "assisted by Brian Wagner and Amir Farahani." (pg. 12, ¶ 53, line 6.) 3. "Amir Farahani's license has been suspended by the State Bar after his last appearances in Dept. C33 and C18 on behalf of AlphaPet against Homman's Petition and on behalf of Defendants in the current lawsuit. No one from Kutak Rock LLP informed Homman's counsel for such suspension. But Homman's counsel found it on her own after Kutak Rock LLP cancelled Amir Farahani's email in the last a few months and emails to him became undeliverable. Currently, a different lawyer from Kutak Rock, LLP, Bradley Boyer is working on this case without confirming he is the attorney on record with Brian Wagner. Bradley Boyer previously observed Amir Farahani's appearance in Department C33 and C18 starting from late 2024." (pg. 12, Footnote 1.) 4. "assisted by Brian Wagner and Amir Farahani." (pg. 12, ¶ 54, lines 16-17.) 5. "Epps and Wangs hired Brian Wagner and Amir Farahani as AlphaPet's counsels to mislead Homman, and later even mislead the Court that both locations were "closed" for business under penalty of perjury…" (pg. 13, ¶ 55, lines 3-5.) 6. "Homman through its counsel contacted AlphaPet's counsel Brian Wagner and Amir Farahani trying to arrange the onsite inspection in the middle of December 2024." (pg. 13, ¶ 56, lines 9-10.) 7. "In November 2024, Homman was informed by Brain Wagner and Amir Farahani…" (pg. 13, ¶ 57, lines 11-12.) 8. "On February 4, 2025, attorneys Amir Farahani, Brian Wagner, and Bradley Boyer emailed Homman's counsel, copying one another, and for the first time produced a copy of the lease termination letter for the SC Location dated August 7, 2024,

		along with the Asset Purchase Agreement executed by Epps on behalf of AlphaPet dated May 8, 2024." (pg. 14, ¶ 62, lines 7-9.) 9. "As of this date, Brian Wagner and Amir Farahani have completely ceased communicating with Homman's counsel, even though they remain attorneys of record for AlphaPet and have filed no formal substitution of counsel with either Homman or the Court." (pg. 15, ¶ 69, lines 16-18.) 10. "In December 2024, after Brian Wagner and Amir Farahani lost the Motion to Compel for refusing allowing [sic] on-site inspection and production of business books and record, attorney Bradley Boyer appeared in the ongoing case, without formal substitution." (pg. 15, ¶ 70, lines 19-21.) 11. "Despite having agreed in writing to the deposition dates weeks in advance, confirmed dates for deposition properly noticed, Bradley Boyer cancelled three depositions in last minutes claiming his clients left for China after the noticed deposition dates and provided with deposition Zoom link. However, not for once, Bradly Boyer provided any proofs or justification for those no-shows by his clients." (pg. 15, ¶ 71, lines 22-26.) 12. "Epps and Wangs caused Brian Wagner and Amir Farahani to make formal written objection to prevent Elevate Pet Life, LLC to produce the franchise records which Homman legally is entitled to under both California Corporate Code and Franchise Laws as a majority owner of AlphaPet." (pg. 17, ¶ 77, lines 1-4.) This Court previously sustained Defendants' demurrer in part with leave to amend. The grant of leave to amend in sustaining a demurrer "must be construed as permission to the pleader to amend the cause of action which he pleaded in the pleading to which the demurrer has been sustained." (*People By and Through Dept. of Public Works v. Clausen* (1967) 248 Cal.App.2d 770, 785.) Here, Plaintiff was given leave to amend as to its (1) alter ego allegations because there was an unequal result if the actions of the corporation were treated as its actions alone; (2) third cause of action for fraudulent concealment because Plaintiff did not allege any action taken in reliance on the fraud; (3) fifth cause of action for abuse of control because it is redundant of the 4th cause of action for breach of fiduciary duty which alleges Defendants abused the control of AlphaPet; (4) eighth cause of action for unfair business practices because it failed to allege members of the public would be misled. Plaintiff's allegations do not address any of the deficiencies for which leave to amend was granted. Thus, the at issue allegations exceed the scope of leave to amend granted to Plaintiff. Therefore, the allegations are stricken.

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<td>25-01531711

Nguyen vs. Toyota Motor Sales, U.S.A., INC.</td>
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1) Motion to Strike Complaint
2) Demurrer to Complaint

<u>Demurrer</u>

Defendant Toyota Motor Sales, U.S.A., Inc.’s Demurrer to the Complaint is SUSTAINED in part with leave to amend and OVERRULED in part.

<u>Statute of Limitations</u>

Plaintiff purchased the vehicle on January 23, 2021. (Compl., ¶ 7.) The fraud statute of limitations is 3 years and the implied warranty claim is four years. (Code Civ. Proc., § 338(d); Civil Code § 1791.1(c).)

“In order to rely on the discovery rule for delayed accrual of a cause of action, a plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence. In assessing the sufficiency of the allegations of delayed discovery, the court places the burden on the plaintiff to show diligence; conclusory allegations will not withstand demurrer.” (Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 808, (cleaned up).)

Plaintiff has sufficiently alleged the time and manner of discovery. Claims for breach of implied warranty do not accrue until “the breach is or should have been discovered.” (Comm. Code § 2725(2).) Plaintiff alleges they “discovered Defendants' wrongful conduct alleged herein shortly before the filing of the complaint, as the Vehicle continued to exhibit symptoms of defects following TOYOTA's unsuccessful attempts to repair them.” (Compl., ¶ 25.) Plaintiff was unable to determine if the product was defective while Toyota was attempting to repair it.

As to the fraud claim, Plaintiff alleges “TOYOTA knew, or should have known, about the Engine Defect through its exclusive knowledge of non-public, internal data about the Engine Defect” and “actively concealed the Engine Defect and failed to disclose this defect to Plaintiff at the time of purchase of the Subject Vehicle or thereafter.” (Compl., ¶ 57.) The defendant’s representations lulling a plaintiff into a sense of security is important factor to consider when determining if a plaintiff acted reasonably in failing to discover facts supporting a fraudulent concealment claim. (See Hobart v. Hobart Estate Co. (1945) 26 Cal.2d 412, 439.)

Accordingly, the demurrer is overruled as to the ground the claims are barred by the statute of limitations.

Economic Loss Rule

Under California law, the economic loss rule does not bar a plaintiff’s claim for fraudulent inducement by concealment, and fraudulent
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inducement claims fall within an exception to the economic loss rule recognized in *Robinson*. (*Dhital, supra,* 84 Cal.App.5th at p. 843.) "A plaintiff may assert a fraudulent concealment clause of action based on conduct occurring in the course of a contractual relationship if the elements of the claim can be established independently of the parties' contractual rights and obligations, and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract." (*Rattagan, supra,* 17 Cal.5th at p. 13.) Based on the above authorities, the economic loss rule does not outright bar a plaintiff's claim for fraudulent inducement-concealment.

At issue is the extent to which the test set forth in *Rattagan* applies, if at all, and whether *Dhital* is controlling.

Rattagan is distinguishable and *Dhital* is controlling.

Rattagan is not a Song-Beverly case, and the California Supreme Court distinguished *Rattagan* from *Dhital* as follows:

> "Rattagan's tort claims are, of course, based on alleged conduct committed *during* the contractual relationship but purportedly outside the parties' chosen rights and obligations. This court has granted review in two other cases — *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 300 Cal.Rptr.3d 715, review granted Feb. 1, 2023, S277568 and *Kia America v. Superior Court* (Feb. 3, 2022, D079858) [nonpub. opn.], review granted Apr. 20, 2022, S273170 — both of which involve claims of fraudulent inducement by concealment claims as well as the potential interplay with remedies available under the Song-Beverly Consumer Warranty Act (Civ. Code, § 1791 et seq.). We do not address these issues here."

(*Rattagan, supra,* 17 Cal.5th at p. 41, fn. 12.)

Plaintiff's claim here for fraudulent inducement by concealment is not premised upon conduct occurring during a contractual relationship, but presale conduct by concealing the Transmission Defect.

This distinction between *Rattagan* and *Dhital* was recently noted by the Northern District Court of California:

> "By expressly calling out the distinction between *Rattagan*'s facts and the fraudulent inducement cases and then dismissing the appeal of *Dhital* without vacating, reversing, or otherwise altering the court of appeal's opinion, the California Supreme Court indicated that the reasoning in *Dhital* should guide claims—like those before this Court—of fraudulent inducement by omission. *See Dhital v. Nissan N. Am.*, 559 P.3d 1083 (2024); *see also Ladanowsky v. FCA US LLC*, No. 24-cv-07197, 2024 WL 5250357, at *4–5 (N.D. Cal. Dec. 30, 2024) (discussing the distinction between *Rattagan* and *Dhital* and applying *Dhital* where the plaintiff alleged fraudulent inducement to enter a

		contract); *Antonov v. Gen. Motors LLC*, No. 23-cv-01593, 2024 WL 217825, at *9 (C.D. Cal. Jan. 19, 2024) (collecting cases following *Dhital* to find that the economic loss rule does not bar fraudulent inducement claims)." (*Moore v. American Honda Motor Co., Inc.* (N.D. Cal., Mar. 28, 2025) 2025 WL 948114, at *7.) Because the dismissal left *Dhital's* reasoning and conclusion intact, the court concluded "that the California Supreme Court's three-step analysis from *Rattagan* controls fraudulent concealment *within* contractual relationships, whereas *Dhital* controls fraudulent concealment *inducing* the formation of a contractual relationship." (*Ibid.* [italics in original].) Additionally, and importantly, the California Supreme Court granted review of *Dhital*, but after the California Supreme Court's ruling in *Rattagan*, the California Supreme Court dismissed the appeal of *Dhital* without vacating, reversing, or otherwise altering the court of appeal's opinion. (*Dhital v. Nissan North America* (2024) 559 P.3d 1083, 327 Cal.Rptr.3d 898 (Mem), 898-99.) "An order dismissing review does not affect the publication status of the Court of Appeal opinion unless the Supreme Court orders otherwise." (Cal. Rules of Ct., rule 8.528, subd. (b)(3).) Thus, *Dhital* is binding precedent. Based on the foregoing, the three-part test in *Rattagan* does not apply to Plaintiff's fraudulent inducement-concealment claim here. The facts and issues in *Dhital* are on all fours with the instant case and involved the precise issue of a fraudulent inducement – concealment claim based on presale conduct in the purchase of a vehicle such that it is controlling. As the *Dhital* court explained: "The economic loss rule provides that, '[i]n general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage.'" (*Dhital, supra,* 84 Cal.App.5th at p. 837.) "For claims arising from alleged product defects, '[e]conomic loss consists of 'damages for inadequate value, costs of repair and replacement of the defective product or consequent loss of profits – without any claim of personal injury or damages to other property…' " (*Ibid.*, citing *Robinson, supra,* 34 Cal.4th at p. 988.) The *Dhital* court also found that "*Robinson* did not hold that any claims for fraudulent inducement are barred by the economic loss rule. Quite the contrary, the *Robinson* court affirmed that tort damages *are* available in contract cases where the contract was fraudulently induced." (*Dhital, supra,* 84 Cal.App.5th at 839 [italics in the original].) The *Dhital* court concluded: "Applying *Robinson* here (and cognizant that our Supreme Court may soon provide additional guidance), we conclude plaintiffs' claim for fraudulent inducement by concealment is not subject to demurrer on the ground it is barred by the economic loss rule. *Robinson* left undecided whether concealment-based claims are barred by the economic loss rule. **What follows from its**

> **analysis, however, is that concealment-based claims for fraudulent inducement are not barred by the economic loss rule**. The reasoning in *Robinson* affirmatively places fraudulent inducement by concealment outside the coverage of the economic loss rule. **We now hold that the economic loss rule does not cover such claims**. First, as discussed, *Robinson* identified fraudulent inducement as an existing exception to the economic loss rule, before it proceeded to analyze the particular claims at issue in that case relating to fraud during the performance of a contract. (*Robinson*, *supra*, 34 Cal.4th at pp. 989–990.) For fraudulent inducement and the other existing exceptions listed in *Robinson*, " 'the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm.' "

(*Dhital, supra,* 84 Cal.App.5th at pp. 724–725 [emphasis added].)

The *Dhital* court further reasoned "that independence is present in the case of fraudulent inducement (whether it is achieved by intentional concealment or by intentional affirmative misrepresentations), because a defendant's conduct in fraudulently inducing someone to enter a contract is separate from the defendant's later breach of the contract or warranty provisions that were agreed to." (*Dhital, supra,* 84 Cal.App.5th at p. 841.) Thus, *Dhital* found that the plaintiffs' fraudulent inducement claim alleged presale conduct by Nissan (concealment) that was distinct from Nissan's alleged subsequent conduct in breaching its warranty obligations, and concluded that "under California law, the economic loss rule does not bar plaintiffs' claim here for fraudulent inducement by concealment", that fraudulent inducement claims fall within an exception to the economic loss rule recognized in *Robinson*, and that the plaintiffs' alleged fraudulent conduct that was independent of Nissan's alleged warranty breaches. (*Id*. at pp. 841, 843.)

Applying *Dhital* here, the economic loss rule does not bar Plaintiff's cause of action for fraudulent inducement – concealment. Plaintiff's fraudulent inducement claim alleges presale conduct by Toyota in concealing and failing to disclose material facts relating to the engine defect that was known to Toyota prior to purchase. (Compl., ¶ 57.) Plaintiff alleges Toyota failed to disclose the defect at the time of sale or thereafter. (Compl., ¶ 57.) However, I recommend finding this allegation is sufficient to allege conduct was in inducing the contract rather than performance of the contract. Plaintiff claims they would not have purchased the vehicle if they "knew about these defects at the time of sale" which would only make sense if the alleged fraud was in inducing the contract. (Compl., ¶ 60.)

Thus, the demurrer is overruled as to this ground.

Duty to Disclose

Transactional Relationship

		"A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment)." (*Rattagan, supra,* 17 Cal.5th at p. 40.) "Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as 'between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.' [Citation.]" (*Id*. at 40-41.) *Dhital v. Nissan North America, Inc*. (2022) 84 Cal. App. 5th 828 addressed the issue of a transactional relationship and found that a car buyer need not allege a contract with the manufacturer to allege a duty to disclose: > Nissan argues plaintiffs did not adequately plead the existence of a buyer-seller relationship between the parties, because plaintiffs bought the car from a Nissan dealership (not from Nissan itself). At the pleading stage (and in the absence of a more developed argument by Nissan on this point), we conclude plaintiffs' allegations are sufficient. Plaintiff alleges that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan's authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers. In light of these allegations, we decline to hold plaintiffs' claim is barred on the ground there was no relationship requiring Nissan to disclose known defects. (*Dhital, supra,* 84 Cal.App.5th at p. 844, *petition for review granted*, 523 P.3d 392 (Cal. Feb. 1, 2023) and *dismissed and remanded,* 559 P.3d 1083, 327 Cal.Rptr.3d 898 (Mem), 898-99 (Cal. Dec. 18, 2024). Unlike in *Dhital*, where the plaintiffs alleged they purchased the vehicle from an authorized retail dealership which was defendant's agent, here Plaintiff simply alleges they "entered into a warranty contract with Defendant TOYOTA …." (Compl., ¶ 7.) This allegation is insufficient to impose a duty to disclose. Thus, the demurrer is sustained as to the 6th cause of action. **<u>Motion to Strike</u>** Defendant Toyota Motor Sales, U.S.A., Inc.'s Motion to Strike is GRANTED with leave to amend.

		"In order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff." (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) Additionally, "[i]n passing on the correctness of a ruling on a motion to strike, judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth." (*Ibid*.) A demand for punitive damages for the commission of any tort requires more than the mere allegation of the "oppression, fraud, and malice" language found in Civil Code section 3294. (See *Perkins v Superior Court* (1981) 117 Cal.App.3d 1, 6-7.) "[F]acts must be alleged in the pleading to support such a claim." (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166.) The facts alleged must show the defendant "act[ed] with the intent to vex, injure or annoy, or with a conscious disregard of the plaintiff's rights." (*Silberg v. California Life Ins. Co.* (1974) 11 Cal.3d 452, 462.) Section 3294, subdivision (c) defines malice, oppression and fraud as follows: "(1) 'Malice' means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. [¶] (2) 'Oppression' means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. [¶] (3) 'Fraud' means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." Based on the Court's ruling sustaining Defendant's demurrer as to Plaintiff's fraud cause of action, the Court finds no allegations of oppression, fraud, or malice to support a claim for punitive damages.
11	***25-01458863*** ***Satin vs. HH Law Firm***	**1) Motion to Compel Answers to Special Interrogatories** **2) Motion to Compel Answers to Special Interrogatories** **3) Motion to Compel Further Responses to Special Interrogatories** **4) Motion to Compel Production** **5) Motion to Compel Production** **6) Motion to Deem Facts Admitted** Plaintiff Ken Satin's motion to compel defendant Hani Habbas to provide further responses, without objection, to Plaintiff's Special Interrogatories (Set One) is CONTINUED to _______. The rule requiring a good faith effort to meet and confer about discovery disputes "is designed to encourage the parties to work out their differences informally so as to avoid the necessity for a formal order . . . [t]his, in turn, will lessen the burden on the court and reduce the unnecessary expenditure of resources by litigants through promotion of informal, extrajudicial resolution of discovery disputes." (*Stewart v. Colonial Western Agency, Inc.* (2001) 87 Cal.App.4th 1006, 1016.) "The level of effort at informal resolution which satisfies the 'reasonable and good faith

		attempt' standard depends upon the circumstances. In a larger, more complex discovery context, a greater effort at informal resolution may be warranted. In a simpler, or more narrowly focused case, a more modest effort may suffice." (*Obregon v. Superior Court* (1998) 67 Cal.App.4th 424, 431.) Plaintiff contends that despite efforts by Plaintiff to meet and confer, Defendant failed to meet and confer with Plaintiff regarding the interrogatories at issue in this Motion. (Dibona Decl., ¶ 11, Ex. 9.) The parties have discussed entering into a protective order to resolve privacy issues and in his Opposition, Defendant states he is not opposed to the entry of an appropriate protective order and remains willing to meet and confer with Plaintiff's counsel regarding its terms. (Opp., 4:26-27.) The court finds further conferences between the parties would be productive. Therefore, the parties are ordered to engage in additional attempts to meet and confer regarding a protective order and other issues that remain in dispute, including a telephonic or in-person conference (not email). No later than 9 court days prior to the continued hearing, the parties are to file a Joint Statement which shall (1) describe the parties' attempts to meet and confer pursuant to this order, (2) identify each discovery request that remains in dispute, and (3) each party's position on the discovery request that remains in dispute. Plaintiff to give notice. **MOTION NO. 2 [ROA 43]:** Plaintiffs Ken Satin and Advocate Law Firm, P.C.'s motion to compel defendant Hani Habbas to provide responses, without objection, to Plaintiff's Special Interrogatories (Set One), is DENIED as MOOT. On 7-28-25, Plaintiffs filed their motion to compel Habbas to serve a response to Plaintiffs' Special Interrogatories (Set One). (ROA 43.) Thereafter, on 1/27/26, Plaintiff Ken Statin moved to compel a further response to the Special Interrogatories (Set One) to Habbas, in which Plaintiff states Habbas "timely served its responses on December 5, 2025, but the responses were incomplete, evasive, and insufficient." (ROA 120; 3:7-9.) Since Plaintiff states Habbas timely served its responses to the Special Interrogatories (Set One), the Motion is MOOT. Plaintiffs to give notice. **MOTION NO. 3 [ROA 39]:** Plaintiffs Ken Satin and Advocate Law Firm, P.C.'s motion to compel defendant HH Law Firm to provide responses, without objection, to Plaintiff's Special Interrogatories (Set One), is DENIED as MOOT. On 7-28-25, Plaintiffs filed their motion to compel HH Law Firm to serve a response to Plaintiffs' Special Interrogatories (Set One). (ROA 39.) Thereafter, on 1/27/26, Plaintiff Ken Statin moved to compel a further response to the Special Interrogatories (Set One) to HH Law Firm, in which Plaintiff states HH Law Firm "timely served its responses on

		December 5, 2025, but the responses were incomplete, evasive, and insufficient." (ROA 128; 3:7-9.) Since Plaintiff states HH Law Firm timely served its responses to the Special Interrogatories (Set One), the Motion is MOOT. Plaintiffs to give notice. **MOTION NO. 4 [ROA 51]:** Plaintiffs Ken Satin and Advocate Law Firm, P.C.'s motion to compel defendant Hani Habbas to provide responses, without objection, to Plaintiff's Requests for Production of Documents (Set One), is DENIED as MOOT. On 7-28-25, Plaintiffs filed their motion to compel Habbas to serve a response to Plaintiffs' Requests for Production of Documents (Set One). (ROA 51.) Thereafter, on 1/27/26, Plaintiff Ken Statin moved to compel a further response to the Requests for Production of Documents (Set One) to Habbas, in which Plaintiff states Habbas "timely served its responses on December 5, 2025, but the responses were incomplete, evasive, and insufficient." (ROA 116; 3:7-9.) Since Plaintiff states Habbas timely served its responses to the Requests for Production of Documents (Set One), the Motion is MOOT. Plaintiffs to give notice. **MOTION NO. 5 [ROA 47]:** Plaintiffs Ken Satin and Advocate Law Firm, P.C.'s motion to compel defendant HH Law Firm to provide responses, without objection, to Plaintiff's Requests for Production of Documents (Set One), is DENIED as MOOT. On 7-28-25, Plaintiffs filed their motion to compel HH Law Firm to serve a response to Plaintiffs' Requests for Production of Documents (Set One). (ROA 47.) Thereafter, on 1/27/26, Plaintiff Ken Statin moved to compel a further response to the Requests for Production of Documents (Set One) to HH Law Firm, in which Plaintiff states HH Law Firm "timely served its responses on December 5, 2025, but the responses were incomplete, evasive, and insufficient." (ROA 124; 3:7-9.) Since Plaintiff states HH Law Firm timely served its responses to the Requests for Production of Documents (Set One), the Motion is MOOT. Plaintiffs to give notice.

		MOTION NO. 6 [ROA 63]: Plaintiffs Ken Satin and Advocate Law Firm, P.C.'s motion to deem admitted matters set forth in Plaintiffs' Requests for Admissions (Set One) served on defendant Hani Habbas, is DENIED as MOOT. On 11-21-25, Habbas' counsel submitted a Supplemental Declaration which states Habbas served his verified responses to Plaintiff's Requests for Admission (Set One). (ROA 90; Rasheed Decl., ¶ 3.) Plaintiffs to give notice.
12	***21-01226723*** ***Software Freedom Conservancy, Inc. vs. Vizio, Inc.***	**Motion for Summary Judgment and/or Adjudication** Defendant Vizio, Inc.'s Motion for Summary Adjudication (ROA 734) is) GRANTED. Plaintiff's objections (ROA 744) are overruled. <u>Procedural History:</u> In the First Amended Complaint (FAC), Plaintiff asserts claims for breach of contract and declaratory relief related to Defendant's use of open-source software for its smart TVs. Defendant filed its first motion for summary judgment, or in the alternative summary adjudication, on 4/28/23. It asserted Plaintiff's contract and declaratory relief claims failed due to (1) Copyright Act preemption and (2) Plaintiff not being an intended third-party beneficiary of the open-source software licenses. The Court denied that motion on the grounds that Plaintiff's claims did not arise under the Copyright Act and the language of the agreements suggested that third parties such as Plaintiff were intended to benefit from the open-source license through the right to receive the source code. Defendant filed its second motion for summary adjudication on 5/2/25, asserting the open-source licenses did not require it to provide all information necessary to permit users to reinstall modified software on Vizio's devices. The Court granted the second motion on the grounds that the language of the agreements did not create such a duty. Now, Defendant moves for summary adjudication as to another aspect of Plaintiff's contract claim – whether Plaintiff has demonstrated consideration sufficient to support its direct contract allegations. <u>Plaintiff's Procedural Objections:</u> Plaintiff contends Defendant's motion fails to comply with Code of Civil Procedure section 437c(f)(1), which states: "A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party

contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty."

Here, Defendant's notice seeks the following relief:

"[S]ummary adjudication as to Software Freedom Conservancy, Inc.'s ("SFC's") first and second causes of action for breach of contract and declaratory relief, with respect to the following issue: whether there was valid consideration to support the formation of a direct contract between SFC and VIZIO based on the request for source code made by Mr. Paul Visscher.

VIZIO moves on the ground that SFC's alleged direct contract with VIZIO is unsupported by consideration. VIZIO provided no legally valid consideration, as it merely promised to do what the GPL already requires it to do. SFC also provided no legally valid consideration, as it provided nothing to VIZIO, nor gave up any rights, when it purportedly accepted VIZIO's written offer on the D32h-J09 Smart TV. Finally, contrary to SFC's position, VIZIO's preexisting rights and duties under the GPLv2 and LGPLv2.1 (collectively, "the GPL") are not legally valid consideration either. Accordingly, SFC's assertion that VIZIO breached a separate contract with SFC fails because the alleged contract was never formed. Resolving this question of duty as a matter of law is appropriate for summary adjudication and will significantly narrow the scope of this case for trial." (Defendant's Motion, p. ii.)

Plaintiff argues Vizio fails to request summary adjudication as to any issue permitted by section 437c(f)(1), i.e. whether an entire cause of action lacks merit, whether an affirmative defense lacks merit, whether a claim for damages lacks merit, or whether a defendant owed a duty. Moreover, Plaintiff asserts that if the motion is granted it will not "completely dispose[] of a cause of action, an affirmative defense, a claim for damages, or an issue of duty."

Specifically, Plaintiff asserts that Vizio's argument would not resolve the issue of its duty to perform on the contract because even in the absence of consideration, the duty may still be enforced under principles of promissory estoppel.

In reply, Defendant argues the motion properly seeks to adjudicate the issue of "contract formation," which would dispose of the issue of Vizio's duty to provide source code under the direct contract, and would dispose of Plaintiff's direct-contract claim, which Vizio argues is distinct from its third-party beneficiary claim although Plaintiff strategically styled these claims as a single cause of action.

		Plaintiff's direct contract claim is based on a separate and distinct contract and legal theory from its third-party beneficiary contract claim based on the open-source licenses. Plaintiff's decision to include both of these theories/claims in a single cause of action does not prevent the Court from separately adjudicating Plaintiff's direct-contract claim, which is the proper subject of a motion for summary adjudication. <u>Summary of Undisputed Facts:</u> On 4/26/23, Plaintiff's agent Paul Visscher contacted Vizio to request source code for a smart TV. (Undisputed Material Fact [UMF] 8.) Plaintiff asserts Visscher's internet chat exchange with a Vizio representative gave rise to a direct contract between Plaintiff and Defendant, including a duty to provide machine-readable source code. (UMFs 11-12.) Visscher testified he did not provide anything in exchange for the source code. (UMF 14.) Vizio's written offer to provide source code pursuant to the open-source licenses, contained in the user interface of the smart TVs, stated in part the following: "VIZIO offers to provide applicable source code upon request for a processing fee covering the cost of fulfilling the distribution, such as the cost of the medium used and shipping and handling. To make a request, please contact VIZIO at support.vizio.com." (UMF 9.) The licensing agreements allow Vizio to require a processing fee. (UMF 9.) However, Visscher testified he did not recall paying or agreeing to pay a processing fee. (Vizio's Rebuttal Fact 1.) Plaintiff states Visscher received the requested source code from Vizio on 5/6/23 via USB drive. (Plaintiff's Additional Fact 21.) <u>Merits:</u> Defendant contends mutual consideration is necessary for contract formation, and here Mr. Visscher did not provide any consideration. It asserts Vizio also did not provide consideration because Defendant's "promise to do something that [i] is already legally obligated to do [provide source code under the open-source licenses] cannot constitute valid consideration." (Motion, p. 1.) Vizio has met its initial evidentiary burden to demonstrate Plaintiff/Mr. Visscher did not provide consideration in exchange for Vizio providing source code. Plaintiff does not dispute the general principles of contract law cited by Defendant. However, Plaintiff argues (1) there was a binding "unilateral contract" which required only performance of Visscher's act of making the request to Vizio, (2) Visscher conferred benefits/suffered detriment by providing his personal contact information and agreeing to Vizio's processing fee, (3) Vizio has disputed the open-source licenses create a contractual duty, so it cannot inconsistently argue the preexisting duty

		created by the licenses invalidates its consideration to create the direct contract, and Vizio imposed new conditions in its standing offer not required by the license, and (4) promissory estoppel creates a duty so resolving the consideration issue would not entirely resolve the direct contract claim. The essential elements of a contract are: "'1. Parties capable of contracting; 2. Their consent; 3. A lawful object; and, 4. A sufficient cause or consideration.' (Civ. Code, § 1550.)" (*Aton Center, Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1231 [cleaned up].) Although Vizio's written offer stated a processing fee would be required to obtain source code, there is no evidence Ms. Visscher actually paid such a fee here. 1. <u>There was no Unilateral Contract:</u> "'In a unilateral contract, there is only one promisor, who is under an enforceable legal duty. The promise is given in consideration of the promisee's act or forbearance. As to the promisee, in general, any act or forbearance, including continuing to work in response to the unilateral promise, may constitute consideration for the promise.' (*Asmus*, *supra*, 23 Cal.4th at p. 10, 96 Cal.Rptr.2d 179, 999 P.2d 71; accord, *People v. Mohammed* (2008) 162 Cal.App.4th 920, 933, 76 Cal.Rptr.3d 372 ['A unilateral contract is one in which a promise is given in exchange for some act, forbearance or thing; there is only one promisor.'].)" (*Mar v. Perkins* (2024) 102 Cal.App.5th 201, 214 [cleaned up].) Defendant argues there was no unilateral contract because there Vizio did not intend that "being contacted by third parties" would constitute consideration. "Unlike a reward offer where the act of returning a lost pet, for example, is part of a requested exchange, the act of contacting VIZIO is not part of a requested exchange, but instead merely an incidental condition attached to receiving source code." (Reply, p. 7.) Defendant asserts this offer is distinguishable from an advertisement such as in *Harris v. Time, Inc.* (1987) 191 Cal.App.3d 449, 453, which stated the customer could obtain a free watch merely by opening an advertiser's envelope. There, Defendant asserts, "the act of opening the envelope was highly valuable to the sender—it was a 'ploy' to solicit magazine subscriptions" because inside the envelope was a further requirement to subscribe to a magazine to obtain the item. (Reply, pp. 7-8.) A unilateral contract is a contract in which acceptance is demonstrated by performance. (See *Asmus v. Pacific Bell* (2000) 23 Cal.4th 1, 10, fn. 4.) It does not constitute a waiver of the element of consideration beneficial to the offeree. For example, a unilateral employment contract exists when the employer offers to pay a wage in return for work, and the employee accepts by performing the work. (*Ibid.*)

Plaintiff analogizes this case to unilateral contracts where members of the public respond to a promotional advertisement such as in *Harris*, *supra*, which required "the opening of the envelope, with consequent exposure to Time's sales pitch." (191 Cal.App.3d 456.) In those cases, the advertiser obtains the benefit of the potential customer's review and dissemination of its marketing materials.

Here, Plaintiff has not shown that Mr. Visscher making a request for source code benefitted Defendant in any way, such as providing Vizio with the benefit of Visscher's labor or allowing Defendant to market its business. Rather, the request invoked a process that was likely a minor inconvenience to Vizio without Vizio obtaining any substantial benefit. Moreover, Mr. Visscher testified he never paid a processing fee to Vizio.

Plaintiff has not demonstrated the existence of a unilateral contract because he has not demonstrated performance of any act that benefitted Defendant, nor is there any evidence Defendant intended to create a unilateral contract via its offer to provide source code.

2. <u>Visscher did not Confer a Benefit/Suffer Detriment by Providing Contact Information and Submitting to a Processing Fee:</u>

"'To constitute consideration, a performance or return promise must be bargained for.' (*Jara v. Suprema Meats, Inc.* (2004) 121 Cal.App.4th 1238, 1249, 18 Cal.Rptr.3d 187; see ibid. ['In the typical bargain, the consideration and the promise bear a reciprocal relation of motive or inducement: the consideration induces the making of the promise and the promise induces the furnishing of the consideration' (quoting Rest.2d Contracts, § 71, com. b, p. 173)].) 'Put another way, the benefit or prejudice must have induced the promisor's promise.'" (*People v. Wimer* (2022) 74 Cal.App.5th 113, 127 [cleaned up].)

Defendant argues, "As SFC's own case explains, 'it is not enough to confer a benefit or suffer prejudice for there to be consideration.' *Steiner v. Thexton*, 48 Cal. 4th 411, 421 (2010). Rather, the benefit or prejudice must have induced the promisor's promise.' SFC meets neither requirement. Merely providing contact information is neither a benefit to VIZIO nor a detriment to SFC. See *Mehta*, 737 F. Supp. 2d at 1197." (Reply, p. 8 [cleaned up].)

Here, Plaintiff has not shown that providing Visscher's contact information and agreeing to a processing fee (which was apparently never paid) constituted a benefit to Vizio or a detriment to Plaintiff. For example, Plaintiff has not demonstrated Defendant used Visscher's contact information for any purpose other than complying with the request to provide source code. Therefore, Plaintiff has not demonstrated these aspects of the transaction demonstrate a triable issue regarding consideration.

3. <u>Did Vizio Merely Comply with a Preexisting Duty?</u>

Although the existence and scope of Vizio's duty under the open-source licenses has been disputed, for purposes of this motion Vizio concedes it has a duty to provide source code under the licenses. Plaintiff has not cited legal authority holding Vizio is precluded from making such a concession for purposes of the motion, nor has Plaintiff demonstrated that Vizio's provision of source code in response to Visscher's request went above and beyond what was required under the open-source licenses. Therefore, Vizio has demonstrated that response to Visscher's request were already compelled by the open-source licenses and cannot constitute consideration for a new contract.

4. Promissory Estoppel:

"California has adopted the Restatement Second of Contracts doctrine of promissory estoppel: A promise which the promisor should reasonably expect to induce action or forbearance on the part of the promisee and which does induce such action or forbearance is binding if injustice can be avoided only by enforcement of the promise. The doctrine employs equitable principles to satisfy the requirement that consideration must be given in exchange for the promise sought to be enforced. Promissory estoppel binds a promissor when he should reasonably expect a substantial change of position, either by act or forbearance, in reliance on his promise, if injustice can be avoided only by its enforcement.' The vital principle is that he who by his language or conduct leads another to do what he would not otherwise have done shall not subject such person to loss or injury by disappointing the expectations upon which he acted. Courts are given wide discretion in its application. The elements of a promissory estoppel claim are '(1) a promise clear and unambiguous in its terms; (2) reliance by the party to whom the promise is made; (3) the reliance must be both reasonable and foreseeable; and (4) the party asserting the estoppel must be injured by his reliance." (*Jones v. Wachovia Bank* (2014) 230 Cal.App.4th 935, 944–945 [cleaned up].)

Plaintiff has not demonstrated that it adequately pled promissory estoppel in its FAC or presented evidence it detrimentally relied on Defendant's offer. Therefore, although the issue of promissory estoppel is not raised in the motion and the Court is not adjudicating such issue, Plaintiff has not shown that promissory estoppel leaves unadjudicated issues regarding the contract claim which preclude summary adjudication under section 437c(f).